



Let's rethink aging.

HOMEBUYERS EDUCATION

On your phone or tablet...

- Please visit [MENTI.COM](https://www.menti.com)
- Enter the code on the screen : 17934283



Realizing the American Dream

Shopping For A Home & Home Inspection



Your HomeBuying Steps



- ☐ Decide what kind of home you want and need
- ☐ Shop for a home
- ☐ Make an offer
- ☐ Apply for a mortgage loan
- ☐ Get a professional home inspection
- ☐ Obtain insurance and have additional inspections
- ☐ Close the loan

REAL ESTATE PROFESSIONALS



Real Estate Brokers

Each real estate company must have a licensed broker who either owns or manages the real estate company.



Real Estate Agent

A professional who is licensed by the state to perform real estate duties and works under a broker.



Realtor®

Agents who are members of the National, State & Local Associations of Realtors® can use the Realtor® trademark.



Realtist®

Member of the National Association of Real Estate Brokers (NAREB) the largest and oldest minority trade association in America or any of its local chapters.



Who Do Agents Work For?

Seller's Agents

- ☐ Also called Listing Agents. Seller's agents list properties for sale and represent only the seller in the transaction

Buyer's Agents

- ☐ Buyer's agents represent only the buyer in the transaction

Dual Agents

- ☐ This when one agent represents both the buyer and seller.

Dual Agency

- ☐ This occurs when there are two agents from the same company. One represents the seller and the other one represents the buyer

How Are Real Estate Agents Paid?



The Buyer Representation Agreement

- ☐ A required written contract between the buyer and their real estate agent
- ☐ The contract clearly outlines how the agent will be paid, and their duties, BEFORE services can be provided
- ☐ Reason for change: Transparency
- ☐ Contracts may differ between brokerages

Visit <https://www.nar.realtor/the-facts/nar-settlement-faq#consumer> for more details

How Are Real Estate Agents Paid?



Real Estate Agents are paid via Commission

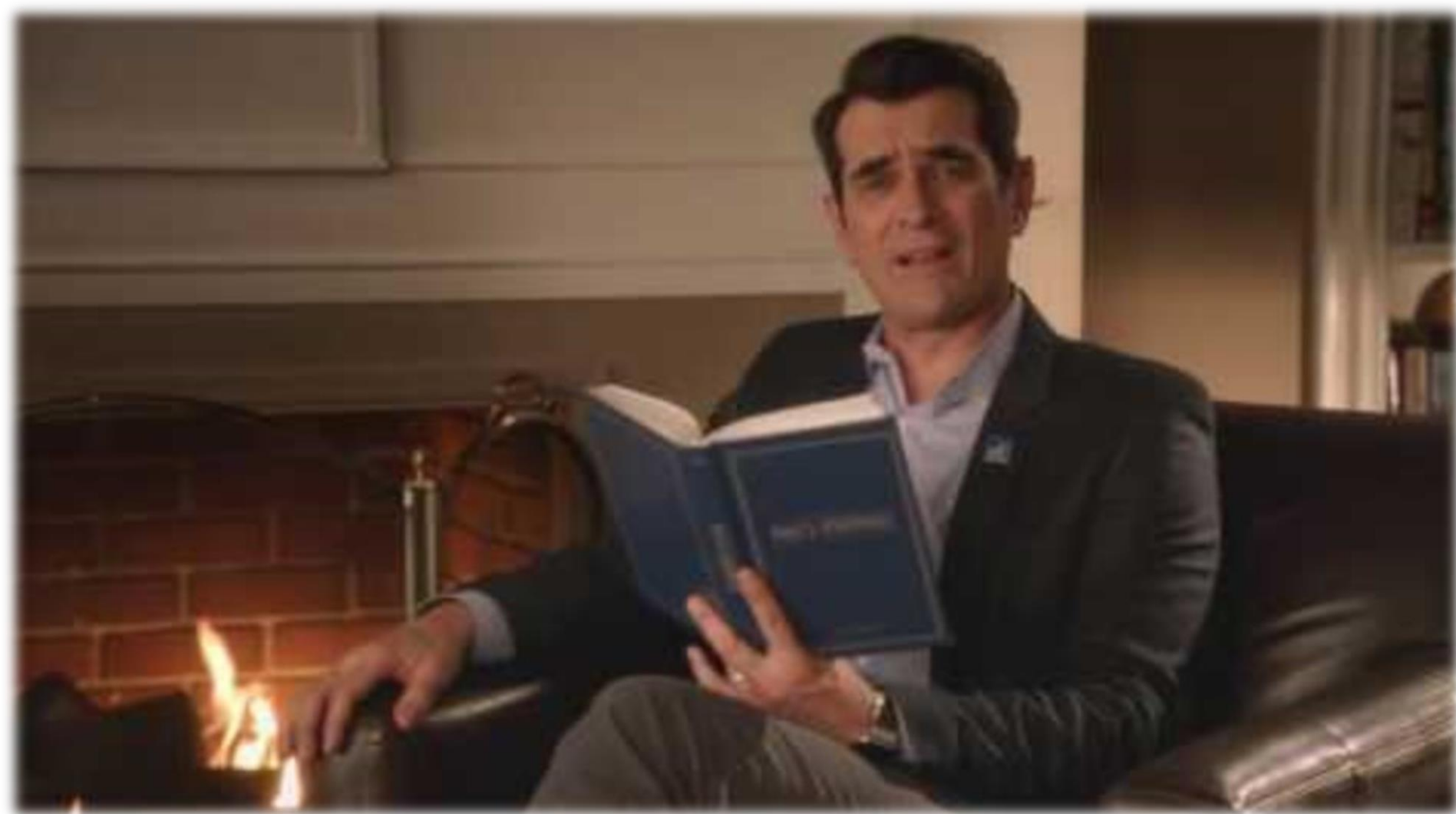
- ☐ Based on **the price** of the home
- ☐ Commission is negotiated by the buyer
- ☐ Brokerage fee is separate and does not go to the agent
- ☐ Agents are paid at the **closing** of the real estate transaction

The Buyer's Agent



- ☐ Helps determine your wants and needs
- ☐ Provides neighborhood information
- ☐ Helps you get prequalified
- ☐ Researches homes in your price range
- ☐ Provides copies of listing sheets
- ☐ Shows you properties for sale
- ☐ Prepare purchase offer
- ☐ Negotiates with seller
- ☐ Refers you to other professionals needed
- ☐ Reviews all paperwork

Shopping For A Home



Interviewing Your Prospective Agent

- ☐ Can you recommend service providers who can help me obtain a mortgage, provide inspections, and help with other things I need done?
- ☐ Do you primarily work with buyers or sellers?
- ☐ What do you do if a buyer you are working with is interested in a home that is for sale by owner
- ☐ How experiences are you with selling foreclosed properties and short sales
- ☐ How long have you been a licensed agent

Is This Your Dream Home?

- ☐ Consider future size of your household
- ☐ Inspect the house carefully
- ☐ Estimate maintenance and repair expenses
- ☐ Check out the neighborhood
- ☐ Visit schools, daycare centers
- ☐ Make the rush hour drive to and from work
- ☐ Observe other homes on the same street

Choosing a Neighborhood



- Visit at different times of the day
- Check with the local police for crime statistics
- Visit and chat with the neighbors
- Do you due diligence

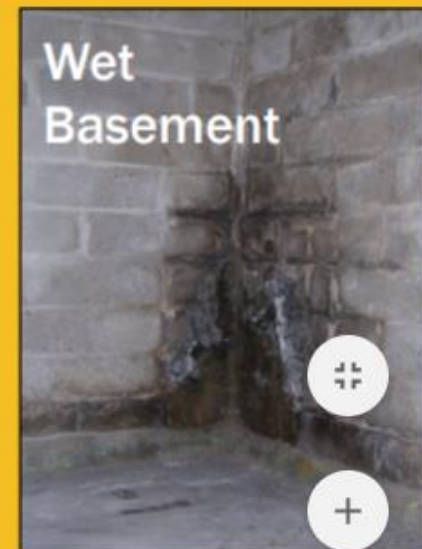
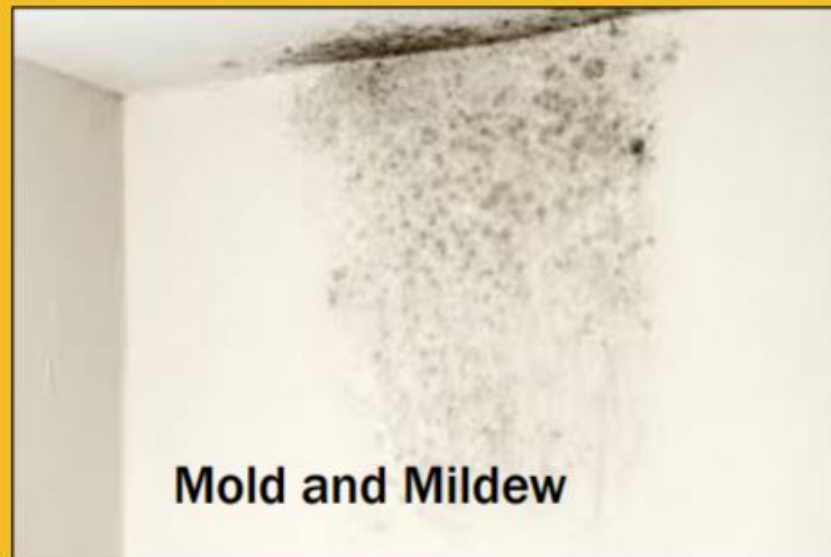
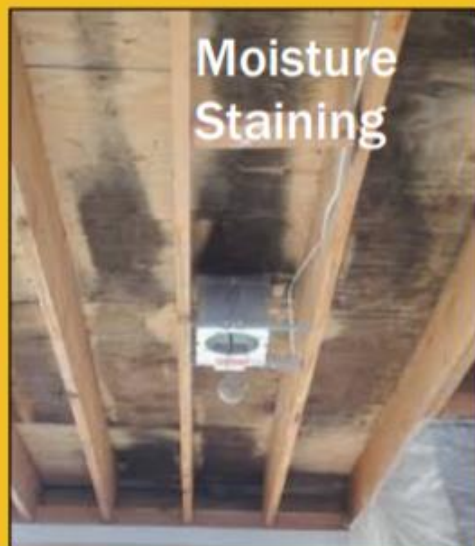


What to Look For When House Hunting

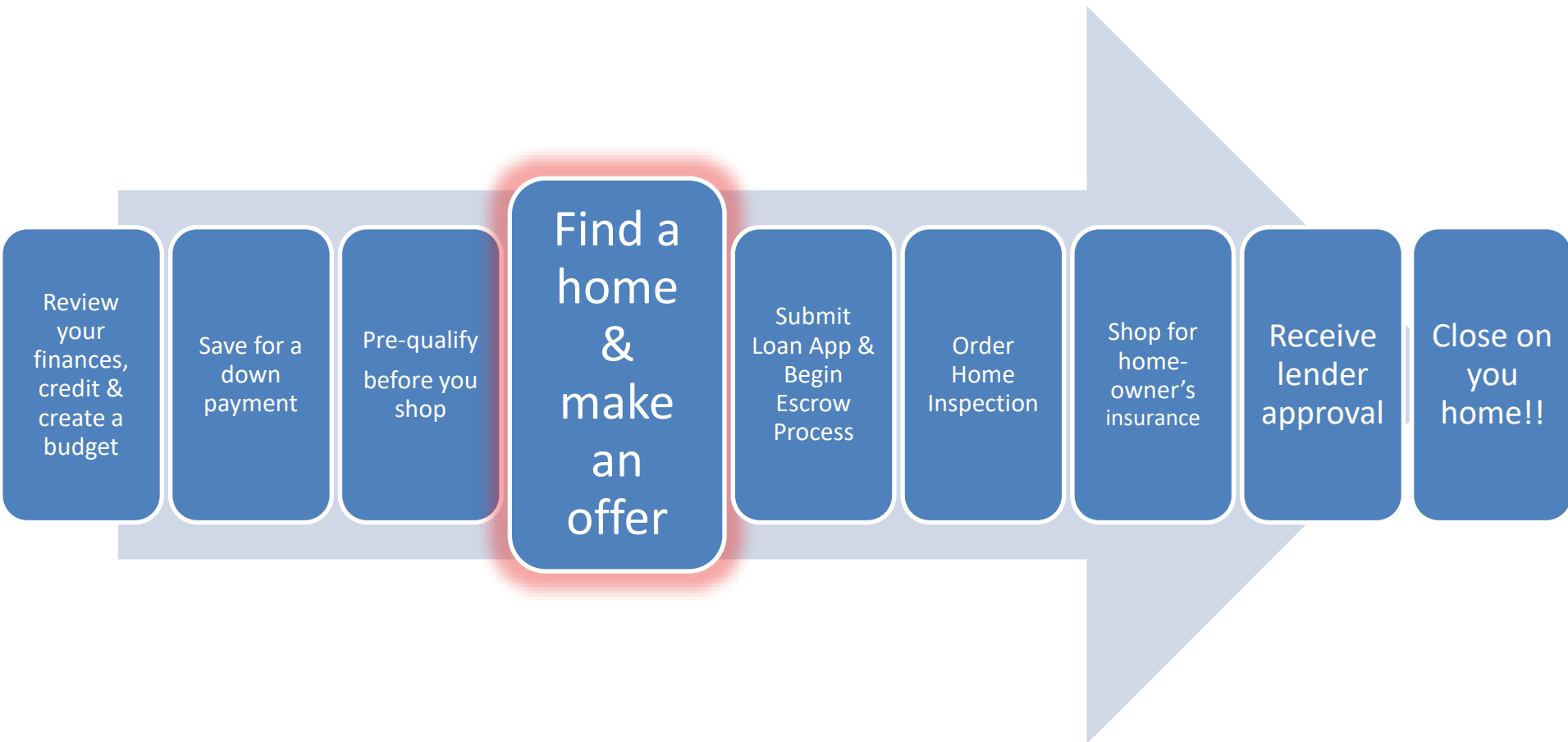
What to Look For When House Hunting

- ☐ Check the floors
- ☐ What are the condition of the appliances
- ☐ Is there an odor? If so, ask what is the cause
- ☐ Look for water in the basement
- ☐ Notice cracks in the wall
- ☐ Pay attention to fresh paint
- ☐ Do the switches work
- ☐ Test the windows
- ☐ Assess the roof
- ☐ Note the trees outside
- ☐ Eyeball electrical and plumbing
- ☐ Pests

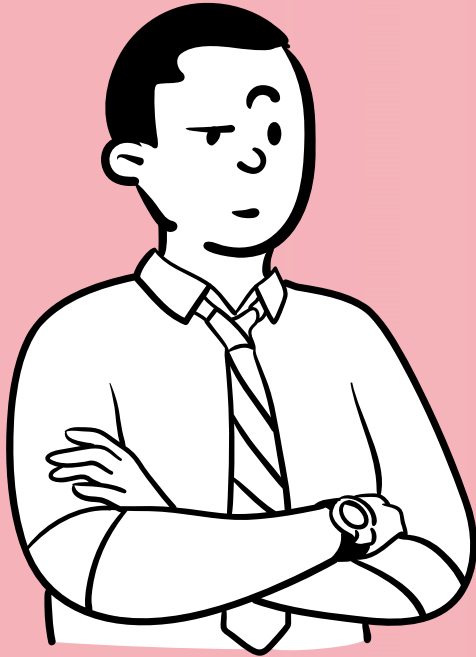
Do NOT just Look at Cosmetics!!



Steps to Homeownership



Shopping For A Home



The Initial Deposit

Earnest monies is like a deposit and shows the seller that you are serious about purchasing the home. It is not required; however, it is standard to provide.

Factors that make a difference in your offer

- Price being offered
- Amount of earnest money
- Legal names of buyers and sellers
- Address and legal description of house
- Provision for home inspection
- Home warranty details
- Proposed closing date

- Financing to be obtained
- List of items the seller is leaving
- All contingencies
- Breakdown of fees and who pays them
- Title company
- Date of possession
- Commission amounts
- Disclosures & Addendums

Contingencies



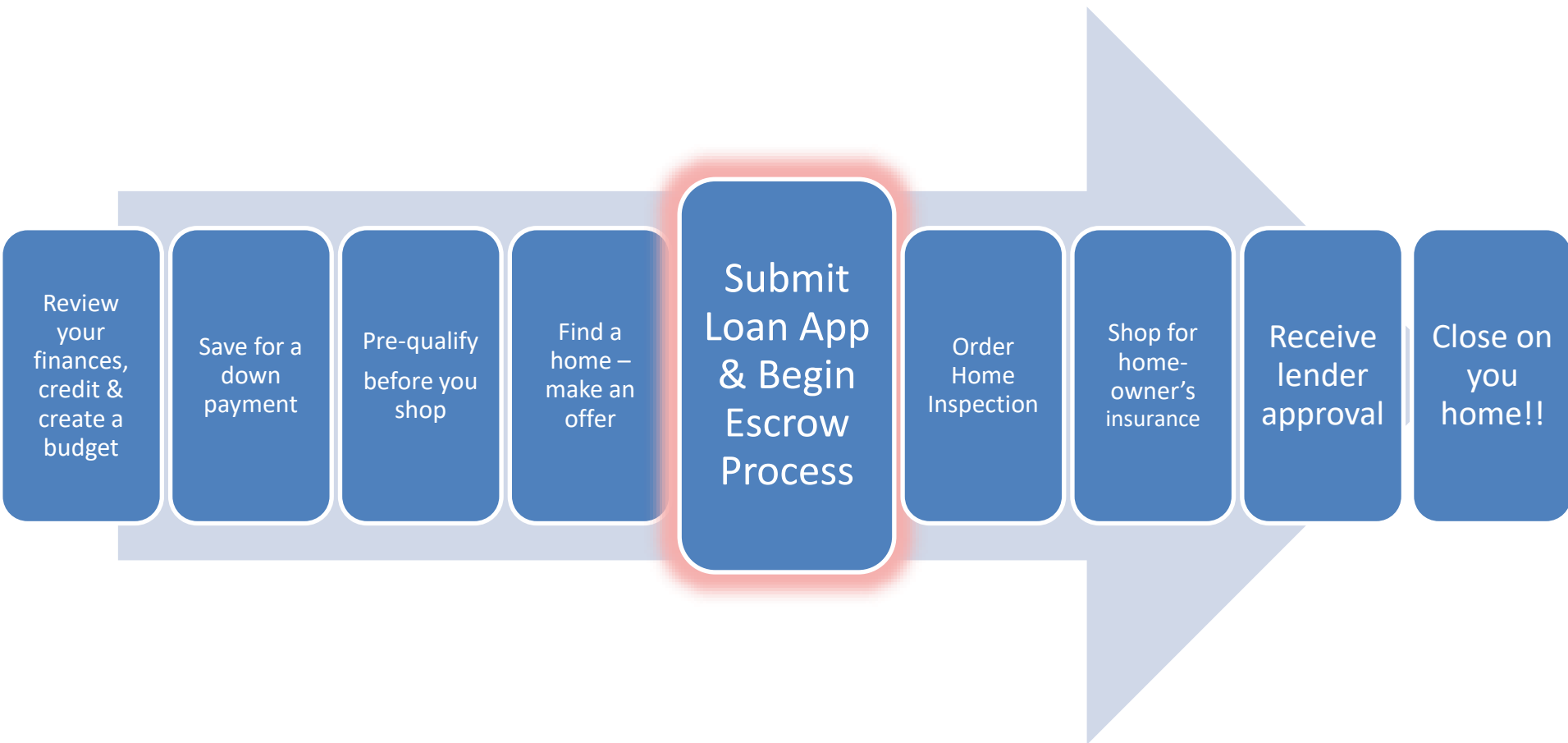
What is a contingency?

- ☐ A house is under contract, however the sale depends on specific actions which can make or break the deal.

Common Contingencies that you should know:

- ☐ Appraisal
- ☐ Financing
- ☐ Home Inspection
- ☐ Home Sale
- ☐ Title
- ☐ Short sale

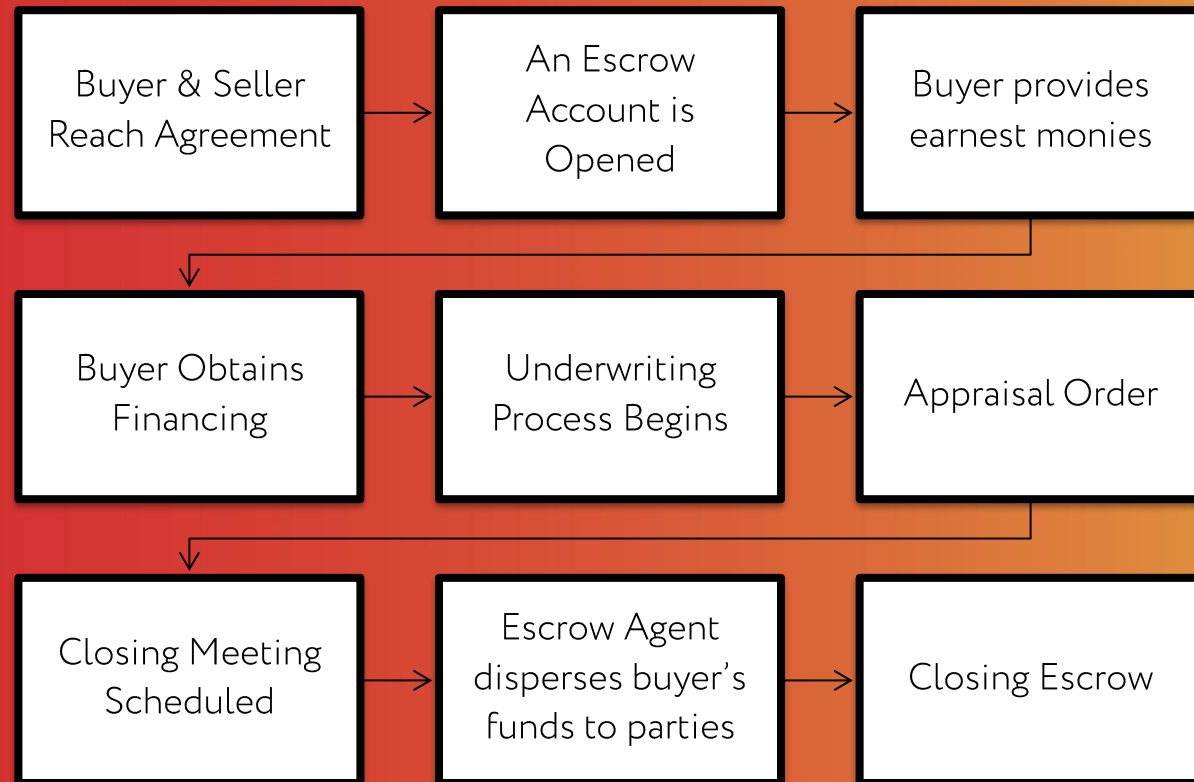
Steps to Homeownership



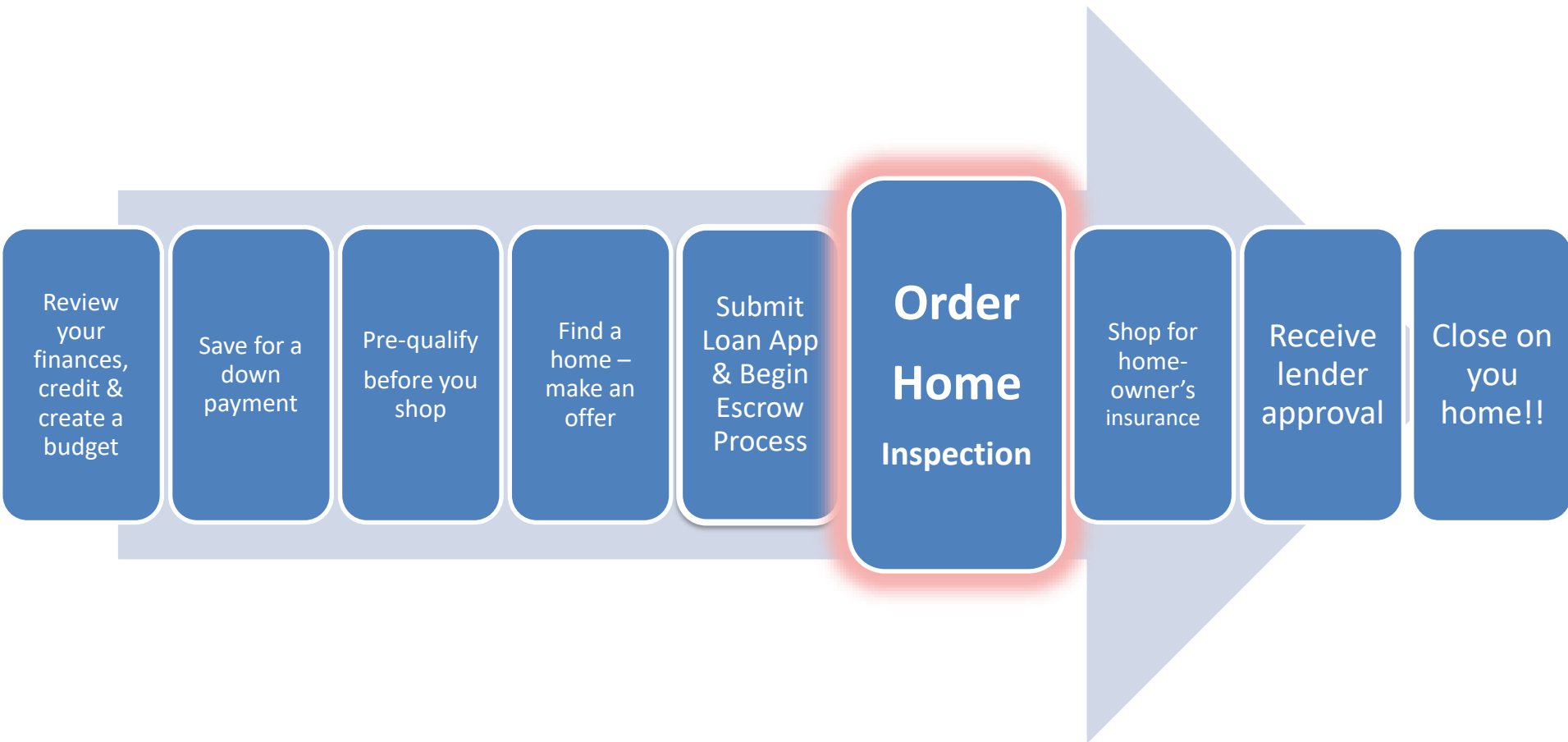
Understanding Escrow

Escrow is a process that ensures a financial contract is fulfilled. It involves a neutral 3rd party that ensures a smooth and secure transaction between the buyer and seller. This third party is often called the Escrow Agent.

Understanding Escrow



Steps to Homeownership



Home Inspection Basics



- ☐ A home inspection is an examination of a property's safety and condition.
- ☐ A buyer arranges and pays for a home inspection and depending on findings, may chose to move on to closing, negotiate the sale price, request repairs, or cancel sales contract.
- ☐ Not the same as a home appraisal.
- ☐ Typically done after sales contract has been signed.



How to Choose a Reliable Home Inspector

How to Choose a Reliable Home Inspector

- ☐ Google search – inspectors near you
- ☐ Get a reference from your real estate agent
- ☐ Look for a company that is bonded and insured
- ☐ Verify that the inspection company only does inspections-not home repairs/renovations
- ☐ Get references
- ☐ Chose an ASHI or InterNACHI inspector
- ☐ Better Business Bureau



Important Questions to Ask a Home Inspector

- ✓ What type of report do you provide, and how long will it take to receive it?
- ✓ Can I attend the inspection?
- ✓ Do you maintain a membership in a professional home inspector association?
- ✓ Do you participate in Continuing Education to keep your expertise up to date?
- ✓ What does your inspection cover?
- ✓ How long have you been a home inspector?
- ✓ Do you offer to do repairs or estimates?
- ✓ How long will the inspection take?
- ✓ How much do you charge for a home inspection?

Additional Inspections You May Need

- ☐ Electrical inspection
- ☐ Plumbing inspection
- ☐ Well and Septic inspection
- ☐ Structural Engineer
- ☐ Lead in Water test
- ☐ Radon testing
- ☐ Mold testing
- ☐ Indoor Air Quality testing
- ☐ Pest inspection
- ☐ HVAC inspection



QUESTIONS?